

DIRECT EQUITY

Direct Equity has the same risk-return characteristics as an equity-related mutual fund and an ETF. If practiced appropriately, the former gives a better return than later. This is because mutual funds also charge an expense fee that reduces the effective return. However, direct equity requires skill and time. We will opt for this route only if we have adequate skills and time to practice the same.

If we have the skill and time and we are willing to put these two to work, then we can replace the equity mutual fund component with direct equity. It is expected to question the extent of it. If we are completely confident about our skills and have been practicing the same for at least 10+ years, we can replace up to 100% of the Equity Mutual Fund component with direct equity. Here, the complete risk of selection and the responsibility of return is on us.

